Q16

- External auditors have a responsibility to report on whether financial statements present fairly [1]
- In doing so, they must form an opinion on whether the financial statements have been prepared in a manner that justifies an unmodified opinion. That can require delicate professional judgement because of the potential for disagreement over accounting treatments [1]
- The IFRS provide a benchmark against which fair presentation can be measured. It would certainly be difficult to argue that a fair presentation was being offered if the accounts did not comply with IFRS [1]
- That can strengthen the auditor's position in the event of any disagreement with the directors because any controversial accounting treatments that do not comply with IFRS can be rejected [1]
- The IFRS also provide the auditor with some justification for an audit opinion. If the opinion is ever challenged by a user of the financial statements then the auditor can argue that the financial statements present fairly in terms of the recognised accounting standards [1]
- The ability to justify an audit opinion in those terms may be sufficient to reduce the risk of reputational damage to the auditor [1]

[6, Max 5]

This question was not answered very well. A number of candidates did not read the question properly and wrote about how IFRS help people prepare financial statements and did not discuss the auditor. The answer should have been about why IFRS are useful to auditors not generic points about the benefits of IFRS.